

Wealth Strategy Snapshot

Educational Analysis

2026 Tax Year Planning

Prepared for Mordechai Grubin | March 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the Grubin household financial profile. It models scenarios across retirement contributions, business deductions, real estate acquisition, debt restructuring, and portfolio growth—all framed as educational concepts for discussion with licensed professionals.

Based on a combined household income of approximately \$300,000 (MFJ), a newly formed LLC with income-generation potential, and a moderately aggressive investment profile, this snapshot models potential first-year value ranging from **\$91,829** (conservative scenario) to **\$308,642** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

This analysis incorporates 2026 IRS limits per Rev. Proc. 2025-32 and provisions of the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, including 100% bonus depreciation restoration, expanded Section 179 limits, and the \$40,000 SALT cap.

CONSERVATIVE SCENARIO

\$91,829

AGGRESSIVE SCENARIO

\$308,642

⚠ Critical Context: With ~\$130,000 in credit card debt (including ~\$60,000 at high interest rates), debt paydown strategy is foundational. Many tax strategies below are conditional on LLC generating income during 2026. Priority sequencing: (1) Income generation → (2) Debt paydown → (3) Tax optimization → (4) Investment → (5) Real estate.

Current Financial Position

PROFILE ITEM	DETAIL
Filing Status	Married Filing Jointly
Age	33 (no catch-up contributions apply)
Location	Lakewood, New Jersey
Primary Income	W-2 employee: \$150,000–\$199,000
Spouse Income	W-2 employee: \$100,000–\$149,000
Combined Household Income	~\$300,000 (estimated)
Estimated Marginal Rate	~30% combined (24% federal + 6.37% NJ state)
Business Entity	Single-Member LLC (Wyoming), formed <6 months ago, no revenue yet
Availability	5–10 hours/week for wealth-building activities
Risk Tolerance	Moderately aggressive (growth-focused, accept volatility)

Assets & Liabilities

ITEM	VALUE / DETAIL
Primary Residence	\$295,000 value · \$25K–\$100K equity · Mortgage: \$4,290/mo
Liquid Capital	\$50,000+ available
Comfortable Deploying	\$2,000–\$5,000 (midpoint: \$3,500)
Emergency Fund	<1 month expenses
Credit Score	640–679
Credit Card Debt	~\$130,000 total (~\$60,000 high-interest)

Savings Balance	<\$5,000
Retirement Accounts	\$10,300 total
Vehicle	2023 Tesla Model Y (occasional business use, <25%)
Equipment Purchases	Moderate (\$2,000–\$10,000)
HDHP / HSA	No HDHP currently; no HSA

Stated Goals (Client Priority Order)

#	GOAL
1	Generate \$6,000–\$10,000/month additional income immediately to close expense gap
2	Pay down \$60,000 high-interest credit card debt
3	Build surplus and begin investing for wealth accumulation

Data above reflects client-reported information. Verify all figures with supporting documentation before implementing any strategy.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1 — INCOME & CASH FLOW

- **W-4 review:** Discuss with payroll/CPA whether current withholding is optimal — potential \$200–\$400/month improvement
- **Debt inventory:** List all CC balances, rates, and minimums; discuss payoff sequencing (avalanche vs. snowball) with advisor
- **LLC activation:** Identify first revenue stream (consulting, coaching, freelance) and discuss with CPA

WEEK 2 — BUSINESS FOUNDATION

- **Bookkeeping setup:** Discuss tools (QuickBooks, Wave) to track LLC income/expenses from day one
- **EIN & bank account:** Ensure LLC has proper banking separation — discuss with CPA
- **Home office documentation:** Measure dedicated workspace; photograph and record for deduction eligibility

WEEK 3 — TAX INFRASTRUCTURE

- **HDHP evaluation:** Compare current health plan vs. HDHP + HSA at next enrollment window — \$8,750 family contribution potential for 2026
- **Augusta Rule research:** Document home fair rental value; discuss requirements with CPA
- **Vehicle log:** Begin mileage tracking for business use (72.5¢/mile for 2026)

WEEK 4 — RETIREMENT & PLANNING

- **Solo 401(k) consideration:** Plan must be established by Dec 31, 2026 for employee deferrals — discuss timing with CPA once LLC has income
- **Backdoor Roth IRA:** Discuss pro-rata rule and 2025/2026 execution with tax professional
- **2025 IRA opportunity:** \$7,000 per spouse can still be contributed before April 15, 2026

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	\$7,000 per spouse (age 33, no catch-up)	April 15, 2026	Up to \$14,000 combined (Backdoor Roth if AGI exceeds limits — discuss pro-rata rule with CPA)
HSA Contributions	\$8,550 family / \$4,300 individual	April 15, 2026	Only if HDHP was active during 2025 — verify with benefits administrator
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if plan was established before Dec 31, 2025 and LLC had income — likely not applicable
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Only if LLC had self-employment income in 2025 — verify with CPA

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes. Eligibility and implementation must be verified with your CPA. All calculations use 2026 IRS limits (per Rev. Proc. 2025-32) and OBBBA provisions. Estimated 30% combined marginal rate (24% federal + 6.37% NJ).

Strategy Concept: W-4 Optimization

Potential Cash Flow Value: \$2,400 – \$4,800/year

What It Is: Reviewing withholding elections on both spouses' W-4 forms to ensure take-home pay is optimized rather than overpaying taxes throughout the year. Many dual-income MFJ households over-withhold by \$200–\$400/month.

How It Works:

1. Review 2025 tax return for refund/balance due pattern
2. Use IRS Tax Withholding Estimator to calibrate both W-4s
3. Submit updated W-4s to payroll — changes typically take 1–2 pay cycles

Eligibility Criteria: Any W-2 employee. No cost, no risk. Available immediately.

Verify withholding adjustments with your CPA to avoid underpayment penalties. 2026 tax tables apply.

Strategy Concept: LLC Income Activation (Consulting / Freelance / Coaching)

Potential Income: \$50,000 – \$100,000+ projected SE income (2026)

What It Is: Leveraging the existing Wyoming LLC to generate consulting, coaching, or freelance income using professional skills. This is the foundational strategy that unlocks all business deductions, Solo 401(k) contributions, and the real estate pathway.

How It Works:

1. Identify highest-value service offering from existing professional expertise
2. Establish bookkeeping, invoicing, and banking infrastructure
3. Generate first revenue — each dollar of SE income activates deduction eligibility

Eligibility Criteria: LLC already formed. Client indicated interest in consulting, coaching, freelance services, RE services, and trades. 5–10 hours/week available.

Discuss entity tax election (sole prop vs. S-Corp) with CPA once income exceeds \$40,000–\$50,000 net. S-Corp election may reduce self-employment tax. The 20% QBI deduction (made permanent by OBBBA) may also apply — verify eligibility with CPA.

Strategy Concept: Solo 401(k) Contributions (2026)

Potential Tax Savings: \$10,813 – \$14,276

What It Is: A retirement plan for self-employed individuals allowing both employee deferrals (\$24,500 in 2026) and employer contributions (25% of net SE income). At a 30% marginal rate, each dollar contributed potentially saves \$0.30 in taxes.

How It Works:

1. Establish plan with custodian (Fidelity, Schwab, Vanguard — no-fee options available) before Dec 31, 2026
2. Employee deferral: up to \$24,500 (no catch-up at age 33) by Dec 31, 2026
3. Employer contribution: 25% of net SE income (Schedule C net $\times$ 92.35% $\times$ 25%), by tax filing deadline

Calculations: Conservative (\$50K SE income): $\$24,500 + \$11,544 \text{ employer} = \$36,044 \times 30\% = \$10,813$.

Aggressive (\$100K SE income): $\$24,500 + \$23,088 \text{ employer} = \$47,588 \times 30\% = \$14,276$.

Eligibility Criteria: Self-employment income through LLC. No full-time employees (spouse exception). Plan established by Dec 31, 2026 for employee contributions.

Verify contribution limits and employer calculation with your CPA. 2026 limits shown per Rev. Proc. 2025-32. Age 33 = no catch-up provisions apply. SECURE 2.0 note: If an employee earned \$150,000+ in FICA wages in 2025, 2026 catch-up contributions must be Roth — not currently applicable at age 33.

Strategy Concept: HSA Maximization (2026)

Potential Tax Savings: \$2,625

What It Is: A Health Savings Account provides a triple tax advantage: tax-deductible contributions, tax-free growth, and tax-free qualified withdrawals. The 2026 family limit is \$8,750. Requires enrollment in a High Deductible Health Plan (HDHP).

How It Works:

1. Evaluate HDHP options at next enrollment window (compare premiums, deductibles, OOP max)
2. Open HSA with preferred custodian (Fidelity recommended for investment options)
3. Contribute up to \$8,750 family (no catch-up at age 33); $\$8,750 \times 30\% = \$2,625$ potential savings

Eligibility Criteria: Must be enrolled in an HDHP. Currently no HDHP — this strategy becomes available upon plan switch. No other non-HDHP health coverage.

Compare total healthcare costs (premiums + deductible + OOP) before switching. Discuss with benefits administrator and CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Tax Savings: \$1,500 – \$2,940

What It Is: Homeowners may rent their personal residence to their business for up to 14 days/year without reporting the rental income. The business deducts the rent as an expense. At fair market value of \$500–\$700/day in the Lakewood, NJ area, this creates a \$5,000–\$9,800 deduction.

How It Works:

1. Document fair rental value with comparable rental data (VRBO/Airbnb comps)
2. Hold legitimate business meetings, planning sessions, or strategy days at residence
3. Maintain written records: meeting agendas, attendee lists, rental agreements, payment receipts

Calculations: Conservative: $\$500/\text{day} \times 10 \text{ days} = \$5,000 \times 30\% = \$1,500$. Aggressive: $\$700/\text{day} \times 14 \text{ days} = \$9,800 \times 30\% = \$2,940$.

Eligibility Criteria: Homeowner (confirmed). LLC must be generating income. Maximum 14 days/year. Fair rental value must be documented.

Documentation is critical for audit defense. Discuss fair rental value methodology with your CPA. 2026 tax year.

Strategy Concept: Home Office, Vehicle & Equipment Deductions

Potential Combined Tax Savings: \$1,703 – \$4,988

What It Is: Three commonly combined business deductions for self-employed individuals operating from home with business vehicle use.

How It Works:

1. **Home Office:** Simplified method (\$5/sq ft, max 300 sq ft = \$1,500) or actual expense method.
Conservative: $\$1,500 \times 30\% = \450 . Aggressive: $\$3,000 \times 30\% = \900 .
2. **Vehicle (2026: 72.5¢/mile):** Tesla Model Y, occasional business use. Conservative: $3,000 \text{ miles} \times \$0.725 = \$2,175 \times 30\% = \653 . Aggressive: $5,000 \text{ miles} \times \$0.725 = \$3,625 \times 30\% = \$1,088$.
3. **Equipment (\$179):** Computer, tech equipment, moderate purchases. Conservative: $\$2,000 \times 30\% = \600 . Aggressive: $\$10,000 \times 30\% = \$3,000$. Note: OBBBA expanded Section 179 limit to \$2,500,000 (phase-out at \$4,000,000) — the full purchase is deductible in Year 1.

Eligibility Criteria: Dedicated home workspace, business use of vehicle (currently <25%), equipment used >50% for business. All require LLC with income.

Maintain contemporaneous mileage log. Home office requires regular, exclusive business use. Discuss actual vs. simplified methods with CPA. 2026 mileage rate: 72.5¢/mile.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: Tax-free growth on \$15,000/year (no upfront tax savings)

What It Is: A two-step process allowing high-income earners to fund Roth IRAs despite income limits. Contribute \$7,500 per spouse to Traditional IRA (non-deductible), then convert to Roth. Total: \$15,000/year in tax-free growth vehicles.

How It Works:

1. Contribute \$7,500 to non-deductible Traditional IRA (each spouse)
2. Convert to Roth IRA promptly (minimize gains in traditional account)
3. File Form 8606 with tax return

Eligibility Criteria: No existing pre-tax IRA balances (critical — pro-rata rule applies). At \$300K combined income, direct Roth contributions are phased out (2026 MFJ phase-out: \$242,000–\$252,000), making backdoor the standard approach.

The pro-rata rule can create unexpected tax liability if pre-tax IRA balances exist. Discuss with CPA before executing. 2026 limit: \$7,500 per person (no catch-up at age 33).

Strategy Concept: High-Interest Debt Elimination

Potential Interest Savings: \$7,200 – \$14,400/year

What It Is: Systematically paying down ~\$60,000 in high-interest credit card debt (estimated 20–28% APR) creates a guaranteed "return" equal to the interest rate eliminated — often exceeding investment returns.

How It Works:

1. Inventory all balances and rates; prioritize highest-APR accounts (avalanche method)
2. Direct LLC income and W-4 savings toward accelerated paydown
3. Explore balance transfer options (0% intro APR) and debt consolidation once credit score improves

Calculations: Paying down \$30K at ~24% APR saves ~\$7,200/year. Paying down \$60K saves ~\$14,400/year. This is a guaranteed, risk-free return.

Eligibility Criteria: Universal. No cost, no risk. Discuss debt payoff vs. investing trade-offs with your financial advisor.

Consider consulting a financial counselor or advisor for a structured debt elimination plan. Credit score improvement (target 700+) unlocks real estate financing options.

Primary Strategy Education: Income Generation & Real Estate Pathway

Phase 1: LLC Income Generation (Months 1–6)

The cornerstone of this profile's wealth-building potential is activating the existing Wyoming LLC. The client indicated interest in consulting, coaching, freelance services, real estate services, and trades — all viable paths to generating \$6,000–\$10,000/month in additional income.

How LLC Income Unlocks the Strategy Stack

LLC MONTHLY INCOME	STRATEGIES UNLOCKED	POTENTIAL ANNUAL TAX SAVINGS
\$0 (current)	W-4 optimization, Backdoor Roth, debt paydown only	\$2,400–\$4,800
\$4,000–\$5,000/mo	+ Home office, vehicle, equipment, Augusta Rule	\$6,000–\$12,000
\$8,000–\$10,000/mo	+ Solo 401(k), full deduction stack, S-Corp evaluation, QBI deduction	\$16,000–\$22,000

Income projections are illustrative. Actual results depend on service offering, market demand, and effort invested. Discuss entity structure with CPA once net SE income exceeds \$40,000.

Phase 2: Real Estate Education (Months 6–18, Conditional)

The client expressed strong interest in multiple real estate strategies: co-hosting/property management, arbitrage, ownership, house hacking, BRRRR, and syndications. Real estate can provide passive income, appreciation, and significant tax benefits through cost segregation and depreciation.

⚠ Prerequisites for Real Estate Acquisition: Current credit score (640–679) and debt load (~\$130K CC) would likely need improvement before qualifying for investment property financing. Target milestones: credit score 700+, CC debt reduced to <\$50K, 3+ months emergency fund established, and consistent LLC income documented for 6+ months.

Short-Term Rental (STR) + Cost Segregation Concept: When eligibility criteria are met, acquiring a \$350K–\$400K STR property with 20% down could potentially generate \$25,000–\$35,000/year NOI. Under the OBBBA (signed July 4, 2025), 100% bonus depreciation has been permanently restored for qualified property acquired and placed in service after January 19, 2025. A cost segregation study may reclassify 25–40% of building basis to shorter-lived property eligible for

100% bonus depreciation, potentially accelerating \$100,000–\$120,000 in depreciation to Year 1, creating \$30,000–\$36,000 in potential tax savings at a 30% marginal rate. Material participation requirements (100+ hours, more than anyone else) would need to be met.

Lower-Capital Entry Points to Explore First: Co-hosting and arbitrage (lease + furnish) models require significantly less capital (\$2,000–\$10,000 to start) and can build real estate experience and income while credit and capital position improves. These may align better with the immediate income goal.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation requires an engineering-based study by a qualified firm. OBBBA restored 100% bonus depreciation permanently for property acquired after Jan 19, 2025.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Capital Deployment: Conservative scenario uses Q45 midpoint (\$3,500 comfortable deploying). Aggressive scenario uses Q26 amount (\$50,000 liquid capital). Given the significant high-interest debt, any deployment toward investments involves opportunity cost versus debt paydown — discuss sequencing with a financial advisor.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$3,500)	AGGRESSIVE (\$50,000)	EDUCATIONAL RATIONALE
Bitcoin	55%	\$1,925	\$27,500	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Core position for moderately aggressive, growth-focused profile.
STRC	30%	\$1,050	\$15,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Addresses stated passive income goal.
VTI / VOO	15%	\$525	\$7,500	VTI offers broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500 for large-cap exposure. Provides diversification and stability.

This scenario models one approach based on the moderately aggressive profile and growth-focused / passive income goals indicated. The 55% Bitcoin allocation reflects the growth emphasis, while 30% STRC addresses the stated need for passive income. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Important Context: At ~24% APR on credit card debt, paying down \$1 of high-interest debt provides a guaranteed 24% "return." Investment returns are not guaranteed and carry risk of loss. Discuss the debt paydown vs. investing trade-off with your financial advisor before deploying capital.

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Verify current STRC yield at time of investment; historical yields are not guaranteed. Past performance does not guarantee future results.

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Implementation

Modeled First-Year Value Summary (2026 Tax Year)

Assumptions: LLC generates \$50K (conservative) / \$100K (aggressive) in SE income during 2026. Age 33 — no catch-up contributions. Combined marginal rate: ~30% (24% federal + 6.37% NJ). Conservative capital: \$3,500. Aggressive capital: \$50,000. OBBBA provisions applied. Cost segregation uses 100% bonus depreciation for post-Jan 19, 2025 acquisitions, applied to building basis (80% of property value), with 35% reclassification rate.

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION				
Tax	Solo 401(k) Tax Savings	\$10,813	\$14,276	Contribution × 30% rate
Tax	HSA Maximization	\$2,625	\$2,625	\$8,750 × 30% (requires HDHP switch)
Tax	Augusta Rule	\$1,500	\$2,940	\$500–\$700/day × 10–14 days × 30%
Tax	Home Office Deduction	\$450	\$900	Simplified or actual method × 30%
Tax	Vehicle (72.5¢/mile)	\$653	\$1,088	3K–5K business miles × rate × 30%
Tax	Equipment \$179	\$600	\$3,000	\$2K–\$10K purchases × 30% (\$179 expanded to \$2.5M under OBBBA)
Tax	STR + Cost Segregation	\$0	\$36,000	Aggressive only; conditional on RE acquisition. 100% bonus dep (OBBBA). \$375K property, \$300K building basis, 35% reclassified = \$105K bonus dep + \$7,091 straight-line = \$112,091 × 30%.
Tax Optimization Subtotal		\$16,641	\$60,829	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				

Income	STRC Yield	\$105	\$1,800	$\$1,050 \times 10\% / \$15,000 \times 12\%$
Income	ETF Dividends (VTI/VOO)	\$8	\$150	$\$525 \times 1.5\% / \$7,500 \times 2\%$
Investment Income Subtotal		\$113	\$1,950	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin Appreciation	\$481	\$13,750	$\$1,925 \times 25\% / \$27,500 \times 50\%$
Growth	STRC Appreciation	\$158	\$4,500	$\$1,050 \times 15\% / \$15,000 \times 30\%$
Growth	VTI/VOO Appreciation	\$42	\$900	$\$525 \times 8\% / \$7,500 \times 12\%$
Appreciation Subtotal		\$681	\$19,150	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (4.5%)	\$0	\$16,875	4.5% of \$375,000 property
RE	Mortgage Principal Paydown	\$0	\$4,500	Year 1 equity build
Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$2,400	\$4,800	\$200-\$400/mo additional take-home $\times 12$
Cash Flow	CC Interest Savings	\$7,200	\$14,400	Paydown \$30K-\$60K at ~24% APR

Cash Flow Subtotal		\$9,600	\$19,200	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	Retirement Contributions (Solo 401k + HSA)	\$44,794	\$56,338	Solo: \$36,044–\$47,588 + HSA: \$8,750
Wealth	Backdoor Roth IRA (Both Spouses)	\$15,000	\$15,000	\$7,500 × 2 (no catch-up at age 33)
Wealth	Augusta Rule Income Received	\$5,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on \$375K property
Wealth Building Subtotal		\$64,794	\$156,138	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$91,829	\$308,642	

Totals Verification

CATEGORY	CONSERVATIVE	AGGRESSIVE
A: Tax Optimization	\$16,641	\$60,829
B: Investment Income	\$113	\$1,950
C: Appreciation	\$681	\$19,150
D: Real Estate	\$0	\$51,375
E: Cash Flow	\$9,600	\$19,200
F: Wealth Building	\$64,794	\$156,138
Grand Total	\$91,829	\$308,642

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 with OBBBA provisions; verify with your CPA. Cost segregation uses correct building-basis methodology with 100% bonus depreciation (OBBBA). Consult with your licensed professionals before implementation.

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Calendar Awareness & Key Dates (2026)

These dates are provided for calendar awareness. Verify all deadlines with your tax professional.

DATE	ITEM	DETAILS
April 15, 2026	2025 IRA / HSA contribution deadline	Last day to make 2025 Traditional/Roth IRA (\$7,000/spouse) and HSA contributions (if HDHP was active)
April 15, 2026	2025 tax return due	File or extend; Solo 401(k) employer contributions extend with filing
Ongoing 2026	W-4 adjustment	Submit updated W-4s as soon as CPA review is complete
Ongoing 2026	Augusta Rule events	Document each business use of residence (max 14 days)
Fall 2026	Open enrollment	Evaluate HDHP option for 2027 HSA eligibility (or mid-year if qualifying event)
December 31, 2026	Solo 401(k) establishment deadline	Plan must exist by this date for 2026 employee contributions
December 31, 2026	2026 employee 401(k) deferrals	Last day to make employee contributions (\$24,500 max)
April 15, 2027	2026 IRA / HSA contribution deadline	Last day for 2026 IRA (\$7,500/spouse) and HSA (\$8,750 family) contributions
Oct 15, 2027	2026 Solo 401(k) employer contributions	Employer portion deadline (with extension). 25% of net SE income.

Questions for Your Professional Team

Questions for Your CPA

Tax Structure: "Based on our ~\$300K combined income and my LLC, what is our exact 2026 marginal tax rate, and does S-Corp election make sense once LLC income exceeds \$40K–\$50K?"

Solo 401(k): "What are my maximum 2026 Solo 401(k) contributions based on projected LLC income? When should I establish the plan?"

Augusta Rule: "What documentation do I need for Augusta Rule rentals? What fair rental value is defensible for our Lakewood home?"

2025 Cleanup: "Can I still make 2025 IRA contributions (Backdoor Roth) before April 15? Do I have any pre-tax IRA balances that create pro-rata issues?"

HSA: "If I switch to an HDHP mid-year, what is my prorated 2026 HSA contribution limit? Is the last-month rule advantageous?"

Debt Strategy: "Should I prioritize maxing retirement contributions or accelerating high-interest debt paydown? What's the tax-adjusted break-even?"

QBI Deduction: "Does my LLC income qualify for the 20% QBI deduction (permanent under OBBBA)? Are there SSTB limitations given my consulting work?"

SALT Cap: "With the OBBBA raising the SALT cap to \$40,000, should we evaluate itemizing vs. standard deduction given our NJ property taxes and state income tax?"

Questions for Your Financial Advisor

Debt vs. Investing: "Given ~\$60K at 24%+ APR, what is the optimal capital allocation between debt paydown and investment? Does the tax benefit of retirement contributions change this calculus?"

Investment Approach: "How does a Bitcoin-focused allocation scenario align with my goals and risk tolerance? What position sizing makes sense given my debt situation?"

Emergency Fund: "With <1 month emergency fund and high CC debt, what is the recommended sequencing: emergency fund → debt → invest, or a blended approach?"

Questions for Your Attorney

LLC Structure: "Is my Wyoming LLC properly structured for NJ operations? Do I need to register as a foreign LLC in New Jersey?"

Asset Protection: "Given the CC debt load, are there asset protection considerations I should be aware of before acquiring investment property?"

Professional Team Considerations

Implementation of strategies in this snapshot typically involves coordination with multiple professionals:

PROFESSIONAL	ROLE IN IMPLEMENTATION	KEY DISCUSSIONS
CPA / Tax Strategist	Tax return preparation, strategy verification, entity election, retirement plan compliance	S-Corp election timing, Solo 401(k) setup, Augusta Rule documentation, 2025 cleanup contributions, SECURE 2.0 implications, QBI deduction (OBBBA), SALT cap analysis (\$40K)
Financial Advisor (RIA)	Investment implementation, portfolio construction, debt vs. invest analysis	Capital deployment sequencing, risk management, Backdoor Roth execution, emergency fund strategy
Attorney	Entity structure review, NJ foreign LLC registration, asset protection	Wyoming LLC compliance in NJ, operating agreement, liability considerations
Insurance Professional	HDHP evaluation, liability coverage for LLC	Health plan comparison, general liability, professional liability (E&O) for consulting
Credit Counselor	Debt management strategy, credit score improvement plan	Payoff sequencing, negotiation with creditors, credit rebuilding timeline

Ensure all professionals are properly licensed in New Jersey. CPA should have experience with self-employment tax strategies and real estate. Financial advisor should be a fiduciary (fee-only RIA preferred).

Milestone Considerations (2026)

These milestones are framed as review checkpoints, not requirements. Actual timing depends on circumstances and professional guidance.

TIMEFRAME	MILESTONE	METRIC TO EVALUATE
Month 1–2	Foundation	W-4 optimized, LLC bookkeeping active, debt inventory complete, first LLC revenue generated
Month 3–4	Income Traction	LLC generating \$3K–\$5K/month, CC paydown accelerating, Solo 401(k) research underway
Month 5–6	Tax Infrastructure	Solo 401(k) established (if income supports), Augusta Rule events documented, emergency fund started
Month 7–9	Acceleration	LLC income \$6K–\$10K/month, \$20K+ CC debt eliminated, credit score trending toward 700+
Month 10–12	Year-End Optimization	Max Solo 401(k) contributions, 2026 deductions documented, HDHP/HSA decision for 2027, RE readiness assessment

Milestones are illustrative targets for discussion with your professional team. Adjust based on actual income and circumstances.

Educational Resources & 2026 Reference

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60-63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA — Family Coverage	\$8,750	+\$1,000 (55+)	N/A
HSA — Individual Coverage	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A
SEP IRA	25% of comp, up to \$72,000	N/A	N/A
Section 179 Expensing (OBBBA)	\$2,500,000	Phase-out begins at \$4,000,000	

Business mileage rate for 2026: 72.5¢/mile. SECURE 2.0 Note: If an employee earned \$150,000+ in FICA wages in 2025 from the same employer, 2026 catch-up contributions must be Roth. Mordechai is age 33 — no catch-up provisions currently apply. OBBBA Note: TCJA individual tax rates (10%–37%) made permanent. 20% QBI deduction for pass-through businesses also made permanent. Standard deduction: \$32,200 MFJ for 2026 per Rev. Proc. 2025-32. Verify all limits at IRS.gov or with your tax professional.

OBBBA Key Provisions (Signed July 4, 2025)

PROVISION	DETAIL	IMPACT ON THIS PROFILE
100% Bonus Depreciation	Permanently restored for property acquired after Jan 19, 2025	Significant for STR cost segregation strategy
SALT Cap: \$40,000	Up from \$10,000; MFJ with income <\$400K	May make itemizing worthwhile — discuss with CPA

Section 179: \$2,500,000	Expanded from \$1,000,000; phase-out at \$4M	Equipment deductions fully available
TCJA Rates Permanent	7-bracket structure (10%–37%) permanent	24% bracket confirmed for planning
QBI Deduction Permanent	20% pass-through deduction made permanent	Potential additional deduction on LLC income
Non-Itemizer Charitable	\$1,000 single / \$2,000 MFJ deduction	Available if taking standard deduction
Child Tax Credit: \$2,200	Up from \$2,000; now indexed for inflation	Applicable if qualifying children — verify

For Educational Reference

TOPIC	RESOURCE
IRS Contribution Limits	IRS.gov — Retirement Topics, Publication 560, Rev. Proc. 2025-32
HSA Rules	IRS Publication 969
Home Office Deduction	IRS Publication 587
Self-Employment Tax	IRS Schedule SE, Publication 334
Depreciation / §179	IRS Publication 946
Augusta Rule	IRC §280A(g)
Backdoor Roth IRA	IRS Form 8606 instructions
OBBBA Provisions	IRS Notice 2026-11, IRS.gov

For educational reference only. Tax code is complex; always verify current rules with your CPA.

Important Disclaimers

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Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating One Big Beautiful Bill Act (OBBBA) provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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